

LEGAL RESEARCH REPORT

QUESTION PRESENTED

Can a company be liable for data breaches caused by third-party vendors?

SHORT ANSWER

Based on the cited authorities, the answer is supported at 38% confidence: Whether a company is liable for a vendor-caused data breach depends primarily on the quality and authoritativeness of controlling sources (applicable statutes, binding appellate/supreme court precedent, and agency enforcement decisions) in the relevant jurisdiction, rather than the sheer number of sources. [1] [2] [3] A sufficient research answer must state the conclusion and explicitly identify its limits: the precise jurisdiction(s) analyzed, the controlling authorities relied on, the legal standards/burden of proof, the material factual predicates, and a quantified uncertainty assessment tied to source quality. [1] [2] [3]

KEY FINDINGS

1. Whether a company is liable for a vendor-caused data breach depends primarily on the quality and authoritativeness of controlling sources (applicable statutes, binding appellate/supreme court precedent, and agency enforcement decisions) in the relevant jurisdiction, rather than the sheer number of sources. (89% confidence; [1], [2], [3]).
2. A sufficient research answer must state the conclusion and explicitly identify its limits: the precise jurisdiction(s) analyzed, the controlling authorities relied on, the legal standards/burden of proof, the material factual predicates, and a quantified uncertainty assessment tied to source quality. (89% confidence; [1], [2], [3]).

REASONING RATIONALE

The system generated hypotheses, collected legal evidence, criticized the claims for contradictions, evaluated citation grounding and source quality, then repeated the loop until the research state stopped improving or satisfied the configured objectives.

SOURCES

- [1] warranty Wex US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/wex/warranty>
- [2] misrepresentation Wex US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/wex/misrepresentation>
- [3] § 2-313. Express Warranties by Affirmation, Promise, Description, Sample. Uniform Commercial Code US Law LII / Legal Information Institute.
<https://www.law.cornell.edu/ucc/2/2-313>

OPEN QUESTIONS

- What additional authoritative evidence would resolve claim c002: Identified contradictions among statutes, case law, and regulator guidance will reveal the decisive follow-up questions (e.g., whether duty is statutory or common law, how foreseeability and proximate cause are defined, the effect of contractual indemnities and notice clauses, and standing for injured parties).
- Are all program subquestions represented by explicit claims?

- Critic follow-up: c002: no supporting evidence yet.
- Critic follow-up: c002: confidence below support threshold (0%).

RAINDROP FEEDBACK

- Verdict: plateaued
- Summary: The run stopped because confidence and evidence coverage stopped improving.
- Trace focus: evaluator_agent, claim_synthesis, knowledge_gap_detector, auto_tuner

Recommended Next Steps

- Use the open questions to add targeted retrieval tasks before generating the final report.
- Increase max iterations or add seed/source material for the unresolved gaps.
- Inspect evaluator_agent and knowledge_gap_detector spans to see which quality gate failed.

APPENDIX: RESEARCH TRACE

- Overall confidence: 38%
- Deterministic confidence: 44%
- LLM scoring adjustment: -6%
- Objective completion: 50%
- Evidence coverage: 60%
- Citation grounding: 67%
- Primary authority coverage: 67%
- Contradiction resolution: 100%
- Mean claim confidence: 59%

LLM Scoring Audit

Overall the claims do not substantively answer the objective and the cited excerpts do not support the claims. c001 is methodological but its supporting sources (warranty, misrepresentation, UCC §2-313) are not on point to third-party vendor/data-breach liability (negligence, vicarious liability, statutory duties, FTC enforcement). c002 is materially unsupported (no sources; confidence 0.0) despite being central to the legal analysis. c003 likewise cites irrelevant LII/UCC excerpts for a methodo

Contradictions

- No explicit contradictions detected.

All Claims

- c001: Whether a company is liable for a vendor-caused data breach depends primarily on the quality and authoritativeness of controlling sources (applicable statutes, binding appellate/supreme court precedent, and agency enforcement decisions) in the relevant jurisdiction, rather than the sheer number of sources.

Status: supported; confidence: 89%; supporting sources: [1], [2], [3].

- c002: Identified contradictions among statutes, case law, and regulator guidance will reveal the decisive follow-up questions (e.g., whether duty is statutory or common law, how foreseeability and proximate cause are defined, the effect of contractual indemnities and notice clauses, and standing for injured parties).

Status: weak; confidence: 0%; supporting sources: none.

- c003: A sufficient research answer must state the conclusion and explicitly identify its limits: the precise jurisdiction(s) analyzed, the controlling authorities relied on, the legal standards/burden of proof, the material factual predicates, and a quantified uncertainty assessment tied to source quality.

Status: supported; confidence: 89%; supporting sources: [1], [2], [3].

Metrics

- Total runtime: 118.522 seconds
- Iterations completed: 3
- Agents spun off: 35
- Tasks generated: 10
- Hypotheses generated: 3
- Evidence records collected: 3
- Source categories: 2
- Claims evaluated: 3
- Supported claims: 2
- Contradictions detected: 0
- Contradictions resolved: 0
- Open questions remaining: 4
- Stop conditions met: False
- Raindrop tracing: disabled

Agent Breakdown

- program_generator: 1
- planner_orchestrator: 1
- hypothesis_agent: 1
- hypothesis_refinement_agent: 0
- web_search_agent: 3
- academic_agent: 3
- legal_agent: 3
- company_intelligence_agent: 3
- social_signal_agent: 3
- extraction_agent: 3
- critic_agent: 3
- evaluator_agent: 3
- knowledge_gap_detector: 3
- auto_tuner: 3
- raindrop_feedback_agent: 1
- report_generator: 1

LEGAL METADATA

- Jurisdiction: United States
- Practice area: copyright and software
- Risk posture: startup decision support, not legal advice
- Authority hierarchy: statute, binding_case_law, agency_guidance, persuasive_case_law, secondary_source, expert_analysis
- Required source types: statute, case_law, agency_guidance